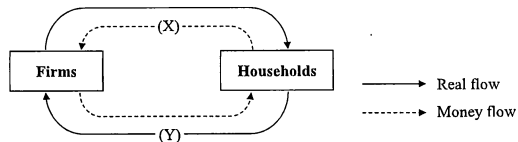


## SECTION 1: NATIONAL INCOME

### 1.1 CIRCULAR FLOWS

#### Multiple Choice Questions

1990/CE/II/35



X and Y in the above circular flow of economic activities should be labeled respectively as

- A. sales revenue; factor services.
- B. sales revenue; goods and services.
- C. factor income; goods and services.
- D. factor income; factor services.

1990/CE/II/57

Which of the following is a 'stock' concept?

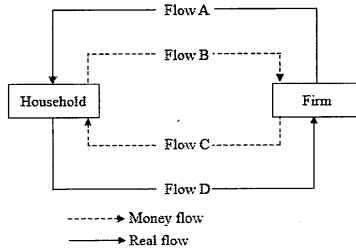
- A. Amy earns a monthly income of \$3 000.
- B. Mr Wong consumes three cups of coffee per day.
- C. The government spent \$1 billion on social services last year.
- D. Peter had \$1 million in his savings account at the end of last year.

1991/CE/II/42

Which of the following are classified as 'flows'?

- (1) bank deposits
  - (2) the imports of Hong Kong
  - (3) rental income
  - (4) the inventory of a department store
- A. (1) and (2) only
  - B. (1) and (4) only
  - C. (2) and (3) only
  - D. (3) and (4) only

1991/CE/II/47



When economist calculate a country's national income by the income approach, they measure \_\_\_\_\_ in the above chart.

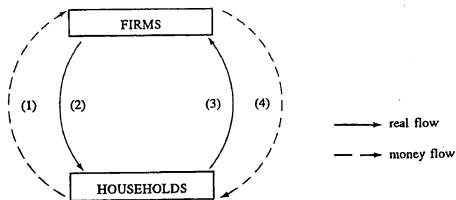
- A. Flow A
- B. Flow B
- C. Flow C
- D. Flow D

1992/CE/II/44

Which of the following are 'stock' concepts?

- A. The balance in a savings account as at December 31, 1991.
- B. Hong Kong's balance of payments.
- C. Hong Kong's GDP.
- D. Hong Kong's total exports.

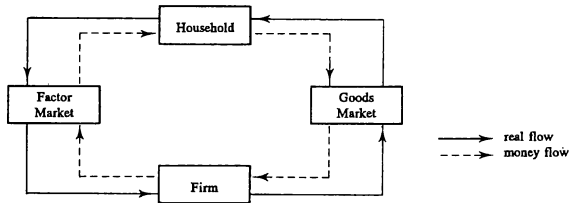
1993/CE/II/37



The diagram above shows the circular flow of economic activities. The economy's expenditure and income are shown in Flow \_\_\_\_\_ and Flow \_\_\_\_\_ respectively.

- A. (1); (2)
- B. (1); (4)
- C. (2); (3)
- D. (3); (4)

1994/CE/II/31

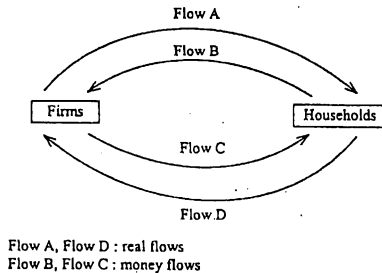


What does the above diagram show?

- A. Economic activities take place in an open economy.
- B. There is government intervention in the economy.
- C. National income equals national expenditure.
- D. Households conduct transactions in the goods market only.

2002/CE/II/24

Refer to the circular flows below:

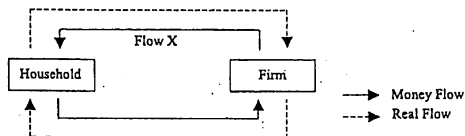


What of the following statements is correct?

- A. Flows A and D are flows of households' expenditure and firms' payment to factor owners respectively.
- B. All value-added totals contributed by the firms equal the market value of all final goods and services.
- C. The market value of Flow B equals the market value of all final goods and services plus the market value of unsold goods.
- D. The flow of final goods and services includes self-provided services.

2003/CE/II/25

Refer to the following circular flow of an economy:

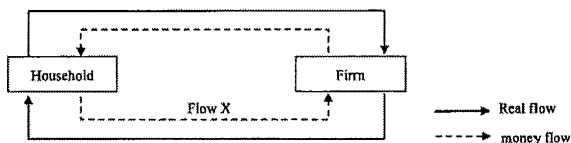


Which of the following is included in Flow X?

- A. household expenditure on final goods and services
- B. factor income such as rent and wages
- C. value of intermediate goods
- D. market value of all final goods and services

2009/CE/II/26

Refer to the following circular flow of Economy A:



Flow X represents

- A. the total expenditures on all final goods and services.
- B. the total income earned by households from their factor services.
- C. the total value of factor services provided by households to firms.
- D. the total market value of all intermediate and final goods and services.